labour-intensive MSME sectors like footwear, leather, toys and food processing.

● **MISHRA:** The budget speech acknowledged the importance of MSMEs for job creation, economic growth and exports, and announced several measures to help MSMEs. As the Economic Survey highlighted, easing the regulatory burden is critical for economic revival, more so for MSMEs, who do not have the scale to be able to afford the costs of regulatory compliance, much of which remains a relic of the 'licence raj'.

● **PATNAIK:** The budget has taken appropriate initiatives to boost India's industrial competitiveness across firms of all sizes. The government intends to establish a National Manufacturing Mission to cover small, medium and big industries allowing central ministries and states to carry out roadmaps and assess progress. The emphasis on reducing regulatory burden and improving ease of doing business will boost trust and create a more business-friendly climate.

The budget has also strengthened MSMEs and their role by raising investment and turnover criteria, boosting credit guarantee cover to Rs 20 crore, and introducing Rs 5 lakh credit cards for micro firms to improve working capital access. These initiatives are anticipated to enhance the competitiveness of India's manufacturing sector and provide substantial support to MSMEs, fostering economic growth and positioning India as a global manufacturing hub. ■

Q WHAT MORE COULD THE FM HAVE DONE TO ADDRESS THE CONCERNS ON GROWTH AND JOBS?

● **JOSHI:** Given limited fiscal flexibility, the budget combines budgetary support and proposed reforms to address growth and employment concerns. The focus is now on the extra-budgetary efforts to implement these measures and ensure their success. Additionally, the non-inflationary nature of the budget creates conditions for a potential rate cut in February, which will support growth.

● **GOYAL:** Given the many dimensions of possible coordination with states mentioned, and its importance for delivery, the formal framework promised last year would have been welcome but is still missing. Many states have notified the new labour codes as well as some dimensions of agricultural marketing reforms. These could have been taken forward.

There are many carrots for corporates—some sticks could also have been used. For example, investment credits combined with penalties for high profit firms that do not invest.

● **CHAKRABORTY:** In this macro environment, the budget preferred nudging consumption to support an immediate cyclical recovery. Once the growth stabilises, the focus could return to more capex-oriented spending in a diversified way to boost longer-term structural growth potential. The theme of deregulation also has the potential to be the fulcrum of next-generation structural reforms and take growth into a higher orbit.

● **MISHRA:** Given the constraints on the fiscal front, and the need to bring down debt-to-GDP over time, the government should bring back plans for disinvestment and take forward the plans laid out in 2021 of exiting non-core sectors, and limiting its footprint to just five companies in core sectors. This will help provide fiscal space (the value of government holdings in listed companies is now more than Rs 40 lakh crore), and also improve strategic alignment of the government's balance sheet—towards owning assets that help India achieve strategic economy, as also improve the quality of its human capital.

● **PATNAIK:** A key provision in this year's budget is the formation of a high-level committee to conduct a thorough examination of non-financial sector laws, certifications, licences and permissions. This committee will play an important role in identifying regulatory compliances and resolving them, which will strengthen trust in economic governance. The budget has also announced reform measures in several areas to help with process rationalisation. Deepening these process reforms, rationalising duties, correcting the inverted duty structure and so on will go a long way towards achieving India's goal of self-sufficient industrial growth. ■



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>
> NEELKANTH MISHRA